December 2025 CPI

Historical forecast reconstruction

Prepared 17 October 2026. Historical information cutoff: **12 December 2025, 16:01 IST**. This brief was not actually issued on that historical date and is not a current forecast.

1 | What was available at the cutoff

Target: the next first-provisional All-India Combined headline year-on-year CPI inflation rate, December 2025, old base 2012. The most recent monthly release was November, published on 12 December 2025 at 16:00 IST, reporting 0.71%.

Frozen method	December forecast
Selected persistence	0.71%
Fixed Ridge AR(1)	3.0234%
Seasonal diagnostic	5.22%

Recommendation at this historical cutoff

Use the already selected persistence point forecast as the transparent reference. Do not treat agreement with a later release as known, substitute a later revised lag or refit the challenger after seeing its test error.

Uncertainty that can be defended

The six-release development RMSE was 0.2948 pp. Six dates are insufficient to establish a reliable 80% or 95% prediction range, and model disagreement is not a probability interval. Keep uncertainty explicit instead of presenting an unsupported tight band.

Source and timing

https://www.pib.gov.in/PressReleaseIframePage.aspx?PRID=2202940&lang=2&reg=3

November 2025 provisional Combined headline, table cell td[5] in the pinned general-inflation row. Source hash and full XPath are in the forecast ledger. Later revisions and 2026 new-base backcasts are absent from this information set.

After-release audit

2 | Outcome, error and stopping rule

The first target was released on 12 January 2026 at 16:00 IST: **1.33%**. Persistence error is **-0.62 pp**; AR(1) error is **+1.6934 pp**. Positive error means overprediction.

Error decomposition

For this date, AR(1) error = lag error (-0.62) + model adjustment (+2.3134) = +1.6934 pp. This explains model arithmetic; it does not identify the economic causes of inflation.

What the complete held-out panel says

Across 18 final releases, persistence RMSE is 0.8185 pp and AR(1) RMSE 1.6901. The paired squared-error difference is 2.1865 pp squared, conditional block-bootstrap 95% interval [0.6137, 3.8166]. This is uncertainty about retrospective mean loss, not a range for one future inflation print. Final errors exceed development errors, warning against assuming stable precision.

Hindsight and measurement risk

Four unavailable lag-final revisions slightly improve the challenger's apparent MSE by 0.01582 pp squared. Target revisions are evaluated separately. Neither operation changes the primary first-release result or the previously selected baseline.

Stop at the base break

Do not treat old-base December final 1.33% and new-base January 2.75% as a continuous same-definition monthly series. The 2026 basket/base change requires its own study. No current October 2026 forecast follows from this experiment.

Limits

Short dependent panel; publication-dated reconstruction rather than immutable historic snapshots; no calibrated per-forecast interval; no independent external review. Full sources, cell locators and errors accompany the research paper.